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It's (Been?) Time: Your VCMDA Compliance Reminder!

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As 2024 winds down, advertisers are sure to be thinking about their "to-do" lists for 2025. On that list (if you have not checked it off already) should be "get into compliance with California's VCMDA." By way of background here's what that means (and how we got here):

At the end of 2023, California passed a new law called the "Voluntary Carbon Market Disclosures Act" which requires advertiser to include specific disclosures on their website when making certain types of environmental claims - specifically, claims like "net zero," "carbon neutral," or any other claims that the advertiser and its products don't add carbon dioxide or other greenhouse gasses to the environment or that the advertiser has significantly reduced its greenhouse gas emissions. And, if the advertiser purchases or uses carbon offsets to make these types of claims, they're required to disclose additional information as well.

Technically, the law went into effect on January 1, 2024.

But, in January 2024, the California Assembly Daily Journal published a letter of legislative intent from the bill's sponsor, Assembly Member Jesse Gabriel, saying that it was actually his intent that the first set of required disclosures under the VCMDA would be published by January 1, 2025 (so, seemingly giving advertisers over a year - instead of a few months - to bring themselves into

compliance).

Beginning in early 2024, Assembly Member Gabriel introduced Assembly Bill 2331 - an amendment to the VCMDA. The earliest iterations of AB 2331 would have simply (1) codified that the date for initial disclosures under the VCMDA is in fact January 1, 2025; and (2) clarified that, for purposes of the portions of the VCMDA that apply to voluntary carbon offsets, a "voluntary carbon offset" also does not include certain renewable energy certificates ("RECs") (such as certain RECs issued through an accounting system of a governmental regulatory body or a virtual power purchase agreement). However, this version never passed.

By this fall, the bill had been through a handful of amendments (none of which passed), such that the most recently introduced version of AB 2331 would have, in part:

(1) codified that the date for initial disclosures under the VCMDA is actually July 1, 2025.

(2) clarified certain disclosure information required for businesses marketing or selling carbon offsets within the state and for businesses making claims based on the purchase or use of voluntary carbon offsets.

(Notably, the RECs exclusion from the first iteration of the bill was entirely struck in the most recent version)

What does that mean for now? Well (given none of the clarifying amendments have passed) we are right back where we started! The VCMDA technically went into effect January 1, 2024, but based on the letter of legislative intent submitted earlier this year, you

seemingly have until January 1, 2025 to get the necessary

disclosures up on your website. And check out our initial blog post on the VCMDA for a reminder

of what those disclosures currently (emphasis on

"currently") need to include!

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